

Postmortem: Duplicate Local Tax Withholding (Oct 2026)

Owner: Payroll Engine team. Severity 2. Status: resolved.

Summary

On the October 15 pay date, **312 employees across 41 companies** in Ohio and Pennsylvania had a local earned-income tax withheld twice. The cause was a tax-jurisdiction rule change deployed in engine release 4.1.8 that matched both the work-location and the residence jurisdiction for employees whose two addresses resolved to the same school district.

Timeline (Eastern)

- Oct 14, 16:10: release 4.1.8 deployed with the new jurisdiction matcher.
- Oct 15, 07:40: first support ping about doubled local tax from a customer in Columbus, Ohio.
- Oct 15, 09:05: engineering confirmed the duplicate match and disabled the new matcher with the feature flag **tax.jurisdiction.v2**.
- Oct 15, 13:30: correction payments queued for all affected employees.
- Oct 16, 09:00: correction payments deposited.

Resolution

- The extra withholding was refunded to employees as a **correction payment on October 16**, and the tax liability was reversed before filing, so no amended filings are needed.
- Engine release **4.1.9** de-duplicates jurisdictions by tax authority code before calculating.

What support should tell customers

Affected employees were refunded automatically on October 16 and will see a correction line on their pay stub. No action is needed from the employer. If an employee still sees a duplicate on a later pay stub, escalate with a ping to engineering and include the company ID and pay date.

Follow-ups

- Add a calculation-diff check that blocks a release if more than 0.5% of a sample payroll changes local tax.
- Add Ohio and Pennsylvania school-district fixtures to the regression suite.